

NMLS SAFE MLO

Full-Length Practice Exam Phase 2 — Exam 3

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 2 — Exam 3 — QUESTIONS (1–120)**■ Federal Laws ■***[Federal Laws — RESPA]***1. Which entity enforces RESPA violations against non-depository mortgage companies?**

- A) The Federal Reserve
- B) HUD
- C) The CFPB
- D) The OCC

*[Federal Laws — TRID]***2. A borrower selects a title company NOT on the lender's Written List of Providers. The title fee quoted on the LE was \$800 but the actual fee is \$1,100. Under TRID, this is:**

- A) A zero-tolerance violation requiring cure
- B) Subject to a 10% tolerance — the \$300 increase does not trigger a violation
- C) Unlimited tolerance — the borrower shopped freely, no cap applies
- D) A 25% tolerance violation

*[Federal Laws — TILA]***3. Regulation Z is the implementing regulation for which federal statute?**

- A) RESPA
- B) The Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) ECOA

*[Federal Laws — ECOA]***4. The Fair Housing Act (FHA) and ECOA overlap in that both prohibit discrimination based on:**

- A) Age and marital status
- B) Income level and employment type
- C) Race, color, national origin, sex, and religion
- D) Credit score and DTI ratio

*[Federal Laws — TRID]***5. Under TRID, the term 'consummation' means:**

- A) The date the appraisal is ordered
- B) The date the Closing Disclosure is issued
- C) The date the borrower becomes contractually obligated on the loan
- D) The date the loan is funded

*[Federal Laws — RESPA]***6. Which of the following settlement service providers is NOT covered under RESPA's prohibition on kickbacks?**

- A) Title insurance company
- B) Home inspector
- C) Real estate attorney
- D) An unlicensed referral company that does not provide settlement services

[Federal Laws — ECOA]

7. A lender requires proof of alimony payments as a liability from a borrower who didn't disclose receiving alimony. This is:

- A) Required by ECOA to assess ability to repay
- B) A violation of ECOA — the borrower need not disclose alimony unless they want it considered for income
- C) Standard underwriting practice
- D) Required by RESPA

[Federal Laws — TRID]

8. The Loan Estimate must be delivered to the borrower within 3 business days of application. If delivered by mail, when is it considered 'received'?

- A) The day it is mailed
- B) 3 business days after mailing (presumed receipt)
- C) 5 business days after mailing (presumed receipt)
- D) 7 calendar days after mailing

[Federal Laws — TILA]

9. Which of the following is an example of a 'higher-priced mortgage loan' (HPML) under Regulation Z?

- A) A first-lien loan with APR more than 1.5% above APOR
- B) A loan with more than 2 discount points
- C) A loan with a 30-year term
- D) Any FHA loan

[Federal Laws — ECOA]

10. Under ECOA, a 'completed application' is defined as:

- A) An application with all borrower-supplied documentation
- B) An application with sufficient information to make a credit decision, per creditor procedures
- C) An application with all 6 ILLNESS elements
- D) An application that has been underwritten

[Federal Laws — RESPA]

11. A real estate broker receives a fee from a title company for including the title company's brochure in a packet given to all clients. This is:

- A) Permitted if the fee is under \$25
- B) A RESPA Section 8 violation — a thing of value paid for business referral
- C) Permitted as it is purely informational
- D) Required disclosure under RESPA

[Federal Laws — TRID]

12. Which of the following would be listed in Section A 'Origination Charges' on the Loan Estimate?

- A) Title search fee
- B) Transfer tax
- C) 0.5% origination fee (points)
- D) Recording fee

[Federal Laws — TILA]

13. The 'right of rescission' period under TILA is 3 business days. If ALL disclosures are incorrect, the extended rescission period is:

- A) 30 days
- B) 6 months
- C) 3 years from consummation

D) Unlimited

[Federal Laws — ECOA]

14. A lender's underwriting policy requires a minimum income of \$60,000/year. This policy results in a statistically lower approval rate for certain racial minorities. This is called:

- A) Disparate treatment
- B) Disparate impact
- C) Redlining
- D) Steering

[Federal Laws — RESPA]

15. Under RESPA, which of the following is a permitted practice?

- A) Paying a referral fee to a contractor who sends you loan applications
- B) Paying a fee to an affiliated title company above ownership return
- C) An employer providing below-market housing counseling to its employees
- D) Splitting a title fee with an unlicensed party who provided no services

■ ■ General Mortgage ■ ■

[General Mortgage — FHA Loans]

16. FHA vs. Conventional: Which program offers NO down payment option?

- A) FHA (3.5% minimum)
- B) Neither — both require down payments
- C) VA and USDA (both 0% down)
- D) Conventional only with gift funds

[General Mortgage — FHA Loans]

17. Which program is BEST suited for a borrower with a 510 FICO, 15% down, buying a rural primary residence?

- A) Conventional loan — 510 FICO qualifies with 15% down
- B) FHA loan — 510 FICO with 10% down required
- C) USDA loan — eligible if property is in rural area
- D) VA loan — 0% down regardless of credit

[General Mortgage — VA Loans]

18. Which of the following is the BEST advantage of a VA loan over an FHA loan for an eligible veteran?

- A) Lower interest rates guaranteed by the VA
- B) No monthly mortgage insurance premium ever
- C) Lower down payment (VA = 0% vs. FHA = 3.5%)
- D) Easier qualification with no credit check

[General Mortgage — USDA Loans]

19. Which program is MOST appropriate for a first-time buyer with moderate income purchasing a home in a small rural town with no down payment savings?

- A) Conventional with 3% down
- B) FHA with 3.5% down
- C) USDA Rural Development with 0% down
- D) VA loan with 0% down

[General Mortgage — Conventional Loans]

20. Which statement BEST compares FHA and conventional loan mortgage insurance?

- A) Both require lifetime mortgage insurance
- B) FHA MIP may last the life of the loan; conventional PMI can be cancelled at 80% LTV
- C) Conventional PMI cannot be cancelled; FHA MIP cancels at 11 years
- D) Both programs have the same mortgage insurance rates

[General Mortgage — ARM Products]

21. An ARM vs. fixed-rate: Which is MORE appropriate for a borrower who plans to sell in 3 years?

- A) Fixed-rate — always safer
- B) ARM — lower initial rate benefits the borrower during the planned hold period
- C) Neither — borrowers should always wait to buy
- D) VA fixed rate only

[General Mortgage — Underwriting/QM/ATR]

22. Which loan type is MOST likely to be classified as non-QM?

- A) A 30-year fixed FHA loan at 6%
- B) A 5/1 ARM conventional loan for a primary residence
- C) A bank statement loan for a self-employed borrower with 12 months of bank statements in lieu of tax returns
- D) A VA loan with 0% down

[General Mortgage — FHA Loans]

23. A borrower wants to compare FHA vs. USDA for a rural property. Which statement is MOST accurate?

- A) FHA has no income limits; USDA income is limited to 115% AMI
- B) USDA requires 3.5% down; FHA has 0% down option
- C) FHA requires eligible rural property; USDA has no location restriction
- D) Both programs require the same down payment

[General Mortgage — VA Loans]

24. Which of the following BEST describes the VA IRRRL compared to a conventional rate/term refinance?

- A) IRRRL requires full income documentation and a new appraisal
- B) IRRRL requires no appraisal (typically), minimal income verification, and must lower the rate or payment
- C) IRRRL allows cash-out up to 90% LTV
- D) IRRRL is available to non-veterans who assume a VA loan

[General Mortgage — Conventional Loans]

25. Which program is MOST appropriate for a borrower with 780 FICO, 25% down, and \$500,000 loan amount?

- A) FHA (best rates for high credit)
- B) Conventional conforming (if under conforming limit in the county)
- C) USDA (income doesn't matter for high scores)
- D) VA (always best for high-FICO borrowers)

[General Mortgage — Mortgage Math]

26. FHA vs. Conventional PMI: A \$300,000 FHA loan (3.5% down) has UFMIP of 1.75% + annual MIP of 0.55%. A conventional \$300,000 loan (3.5% down equivalent) has PMI of 0.90%/year. Which has the lower monthly MI cost?

- A) FHA — always lower
- B) Conventional — 0.90% vs. FHA 0.55% annual (FHA is lower annually but UFMIP is extra)
- C) FHA annual is lower but conventional PMI cancels; long-term conventional is cheaper
- D) They are identical

[General Mortgage — Property/Appraisal]

27. For appraisal purposes, 'market value' is defined as MOST NEARLY:

- A) The assessed value for property tax purposes
- B) The price a seller hopes to receive
- C) The most probable price a property would sell for in a competitive, open market between a willing buyer and seller
- D) The replacement cost of the structure

[General Mortgage — FHA Loans]

28. A borrower had a foreclosure completed 2.5 years ago. Which programs is the borrower ELIGIBLE for today?

- A) FHA only
- B) Conventional only
- C) USDA and VA only
- D) FHA, VA (2yr), and USDA (3yr — not yet eligible)

[General Mortgage — USDA Loans]

29. USDA vs. FHA for a rural property: Which program offers a LOWER ongoing monthly MI cost?

- A) FHA — lower annual MIP
- B) USDA — 0.35% annual vs. FHA 0.55%+ annual
- C) They are the same
- D) Neither charges ongoing MI

[General Mortgage — Conventional Loans]

30. Which statement BEST describes a 'high-balance' conforming loan?

- A) Any loan above \$500,000
- B) A loan between the standard conforming limit (\$766,550) and the high-cost area limit (\$1,149,825)
- C) A jumbo loan sold to Freddie Mac
- D) Any loan requiring PMI

[General Mortgage — ARM Products]

31. A borrower comparing a 5/1 ARM at 5.5% vs. a 30-year fixed at 6.25% plans to stay 10 years. Which loan has the BEST initial rate and what risk exists?

- A) Fixed — always lower risk regardless of plans
- B) ARM — 5.5% initial rate; risk is rate increases after year 5 adjustment
- C) Fixed — lower rate and no risk
- D) ARM — guaranteed lower rate for 10 years

[General Mortgage — Mortgage Math]

32. Comparing FHA and conventional: Borrower has \$280,000 loan at 95% LTV. FHA UFMIP = 1.75%; annual MIP = 0.80%. Conventional PMI = 1.20%/year. Monthly FHA MIP = ?

- A) \$186.67
- B) \$215.33
- C) \$186.67 (FHA) vs. \$280.00 (PMI — conventional higher)
- D) \$233.33

[General Mortgage — VA Loans]

33. A veteran using VA benefits for a SECOND purchase (subsequent use) with 0% down pays a funding fee of:

- A) 2.15%
- B) 1.50%
- C) 3.30%
- D) No fee — subsequent use is free

[General Mortgage — Underwriting/QM/ATR]

34. A borrower with a 38% back-end DTI and 12 months reserves applies for an FHA loan. The automated underwriting system approves. Which statement MOST accurately describes the outcome?

- A) The loan is denied — 38% exceeds FHA's 31% front-end limit
- B) FHA's 43% back-end limit makes 38% acceptable; AUS approval with compensating factors may allow higher if needed
- C) All AUS approvals are manually reviewed first
- D) FHA has no DTI limit with AUS approval

[General Mortgage — USDA Loans]

35. USDA vs. VA: Both offer zero down. Which statement BEST differentiates them?

- A) USDA is for veterans; VA is for rural borrowers
- B) VA requires military service and has no income/location limits; USDA requires rural property and income $\leq 115\%$ AMI
- C) Both have the same funding fee structure
- D) USDA requires 10% down in most cases

[General Mortgage — Mortgage Math]

36. A borrower compares a 15-year vs. 30-year loan at 6.5%. Monthly payment factor: 30-year = \$6.321/1000; 15-year = \$8.711/1000. Loan = \$250,000. What are the monthly P&I payments?

- A) 30-yr: \$1,580.25; 15-yr: \$2,177.75
- B) 30-yr: \$1,200.00; 15-yr: \$1,800.00
- C) 30-yr: \$1,500.00; 15-yr: \$2,000.00
- D) 30-yr: \$1,800.00; 15-yr: \$2,500.00

[General Mortgage — FHA Loans]

37. FHA vs. Conventional: Which statement about seller concessions is MOST accurate?

- A) FHA allows unlimited seller concessions; conventional has no limits
- B) FHA limits seller concessions to 6% of lesser of purchase price or appraised value; conventional limits vary by LTV
- C) Both programs limit seller concessions to 3%
- D) Neither program allows seller concessions

[General Mortgage — Property/Appraisal]

38. The 'cost approach' to appraisal is MOST appropriate for which property?

- A) A 3-bedroom starter home in a subdivision
- B) A rental apartment complex
- C) A newly constructed church with few comparable sales
- D) A condominium in a high-rise building

[General Mortgage — Conventional Loans]

39. After Chapter 13 bankruptcy DISMISSAL (not discharge), the conventional waiting period is:

- A) No waiting period — dismissal means it was not completed
- B) 4 years from dismissal
- C) 2 years from dismissal or discharge
- D) 7 years from filing

[General Mortgage — ARM Products]

40. Which ARM feature is designed to prevent payment shock when a rate cap is reached but the interest owed exceeds the cap?

- A) Negative amortization
- B) A prepayment penalty
- C) A convertibility clause
- D) A fixed-rate conversion option

[General Mortgage — PMI/MIP]

41. Which statement MOST accurately compares FHA MIP and conventional PMI removal?

- A) Both can be removed by the borrower at any time
- B) FHA MIP (>90% LTV) is permanent; conventional PMI removes at 78-80% original LTV
- C) Conventional PMI lasts the life of the loan; FHA MIP cancels at 80% LTV
- D) Both programs have identical removal timelines

[General Mortgage — Mortgage Math]

42. A VA borrower purchases a \$400,000 home with 5% down. The funding fee is 1.50% (first use, 5-9.99% down). What is the total funded loan amount (base loan + funded fee)?

- A) \$388,000
- B) \$393,820
- C) \$380,000
- D) \$394,000

[General Mortgage — Underwriting/QM/ATR]

43. Which borrower profile MOST clearly satisfies the ATR rule under standard guidelines?

- A) A borrower with stated income and no documentation
- B) A borrower with 2 years W-2 income, verified employment, 38% DTI, and 720 FICO
- C) A borrower with 1 year of sporadic freelance income
- D) A borrower with recent foreclosure and 45% DTI

[General Mortgage — FHA Loans]

44. An FHA loan with a 10% down payment and a 15-year term — how long does annual MIP last?

- A) Life of loan
- B) 11 years
- C) 7 years
- D) 5 years

[General Mortgage — Conventional Loans]

45. A conventional loan applicant has a 615 FICO score. Standard Fannie Mae guidelines require a minimum credit score of:

- A) 580
- B) 620
- C) 640
- D) 660

[General Mortgage — Mortgage Math]

46. A \$500,000 USDA loan charges 1% upfront guarantee fee. What is the financed total and the annual guarantee fee (0.35%)?

- A) Total: \$505,000; annual: \$1,750
- B) Total: \$505,000; annual: \$1,767.50 (on \$505,000)
- C) Total: \$500,000; annual: \$1,750
- D) Total: \$508,750; annual: \$1,750

[General Mortgage — VA Loans]

47. A VA borrower has full entitlement remaining. The 2024 conforming limit is \$766,550. The borrower wants a \$900,000 loan. What down payment is required?

- A) 0% — VA loans have no limit
- B) 25% of the amount above the conforming limit
- C) 10% of the full purchase price
- D) VA loans cannot exceed \$766,550

[General Mortgage — USDA Loans]

48. A property in a city of 28,000 population is listed as 'Rural' on USDA eligibility maps. Is the property eligible for USDA financing?

- A) No — only properties in towns under 10,000 qualify
- B) Yes — USDA map designation controls, not population size alone
- C) No — only farm properties qualify
- D) Yes, but only for agricultural workers

[General Mortgage — Underwriting/QM/ATR]

49. Which of the following is a 'compensating factor' that may help a borrower exceed standard DTI limits under FHA manual underwriting?

- A) Recent job change to a new career field
- B) No credit history
- C) Verified, liquid reserves of 3+ months PITI
- D) High LTV (95%) on the new loan

[General Mortgage — Mortgage Math]

50. What is the monthly payment on a 30-year \$350,000 loan at 5.5%? Use factor \$5.678 per \$1,000.

- A) \$1,850.00
- B) \$1,987.30
- C) \$1,800.00
- D) \$2,050.00

[General Mortgage — FHA Loans]

51. Which FHA loan type is specifically designed for energy efficiency improvements?

- A) FHA 203(k)
- B) FHA Section 245 (Graduated Payment)
- C) FHA Energy Efficient Mortgage (EEM)
- D) FHA 251 (Adjustable Rate)

[General Mortgage — VA Loans]

52. The VA residual income requirement is UNIQUE because it:

- A) Is the same as the standard back-end DTI calculation
- B) Calculates the income remaining after all major expenses and varies by family size and region
- C) Replaces the credit check for VA loans
- D) Applies to non-veterans who assume VA loans

[General Mortgage — Jumbo/Non-Conforming]

53. Which statement about jumbo loan underwriting is MOST accurate?

- A) Jumbo loans have more lenient DTI requirements than conforming
- B) Jumbo loans typically require higher credit scores (often 700+), larger down payments, and more reserves than conforming loans
- C) Jumbo loans are insured by FHA for amounts over the conforming limit

D) Jumbo loans have the same guidelines as conforming loans

[General Mortgage — Conventional Loans]

54. A borrower has a debt that was discharged in bankruptcy 5 years ago. Under Fannie Mae guidelines, this:

- A) Permanently disqualifies the borrower
- B) Is irrelevant if the waiting period has been met and re-established credit is demonstrated
- C) Must be paid off before loan approval
- D) Results in a 10% rate surcharge

[General Mortgage — PMI/MIP]

55. A borrower refinances out of an FHA loan with lifetime MIP into a conventional loan with 22% equity. What happens to the FHA MIP?

- A) It transfers to the new loan
- B) The monthly MIP stops at close of the new loan; no refund of UFMIP after 3 years
- C) The FHA refunds the full UFMIP
- D) The new loan automatically has PMI

[General Mortgage — Mortgage Math]

56. A \$280,000 conventional loan at 96.5% LTV. Annual PMI rate = 1.10%. What is the monthly PMI cost?

- A) \$256.67
- B) \$280.00
- C) \$200.00
- D) \$308.00

[General Mortgage — ARM Products]

57. In a 7/6 ARM, what does '6' represent?

- A) 6 months initial period
- B) 6-month adjustment interval after the initial 7-year fixed period
- C) 6% lifetime cap
- D) 6 discount points

[General Mortgage — Title/Escrow]

58. Which title insurance policy protects the lender but NOT the homeowner?

- A) Owner's policy
- B) Lender's policy (also called mortgagee policy)
- C) Both protect equally
- D) Neither — insurance is not required

[General Mortgage — FHA Loans]

59. FHA vs. Conventional for a borrower with 600 FICO and 5% down: Which is the ONLY feasible option?

- A) Conventional — 600 FICO meets the 620 minimum
- B) FHA — 580+ FICO with 3.5% down (5% down is above minimum)
- C) Neither — 600 FICO is too low for both
- D) USDA — no credit score minimum

[General Mortgage — Underwriting/QM/ATR]

60. Which of the following is NOT a standard QM loan type (safe harbor)?

- A) Fannie Mae/Freddie Mac eligible loans
- B) FHA, VA, USDA loans meeting agency guidelines
- C) Option ARM with negative amortization feature
- D) Fixed-rate conventional loans with $\leq 43\%$ DTI

■ ■ Loan Origination ■ ■*[Loan Origination — Application/1003]***61. Which section of the URLA (1003) contains information about the borrower's assets and liabilities?**

- A) Section 1
- B) Section 3
- C) Section 2
- D) Section 6

*[Loan Origination — Income Documentation]***62. Which income type requires a 2-year history AND is averaged over 24 months, using the lower year if declining?**

- A) Base salary
- B) Bonuses and overtime
- C) Investment income
- D) Child support

*[Loan Origination — Self-Employed Income]***63. A 2-member partnership has one partner with 40% ownership. That partner receives a K-1 showing \$80,000 in income. What can the partner use for qualifying?**

- A) $\$80,000 \times 40\% = \$32,000$ of the partnership income
- B) The full \$80,000 shown on the K-1
- C) Nothing — K-1 income is not usable
- D) \$80,000 minus a 25% reduction

*[Loan Origination — DTI Calculations]***64. A borrower has gross monthly income of \$8,500. They have a car loan (\$400), student loan (\$300), credit card minimum (\$75). Proposed PITI = \$2,250. Calculate front-end and back-end DTI.**

- A) Front: 26.5%; Back: 35.6%
- B) Front: 26.5%; Back: 35.6% — within FHA guidelines
- C) Front: 30%; Back: 40%
- D) Front: 22%; Back: 40%

*[Loan Origination — Credit Analysis]***65. A borrower's credit report shows 3 bureau scores: 650, 665, 640. Co-borrower has: 710, 698, 720. The qualifying score for the loan is:**

- A) 665 (primary borrower middle)
- B) 698 (co-borrower middle)
- C) 665 (lower of two middle scores)
- D) 705 (average of two middle scores)

*[Loan Origination — Disclosures/TRID]***66. The Loan Estimate's 'In 5 Years' section shows:**

- A) The expected property value in 5 years
- B) Total amount paid (principal + interest + MI + fees) and total principal paid in the first 5 years
- C) The estimated tax value in 5 years
- D) The rate cap in 5 years for an ARM

[Loan Origination — Products/Programs]

67. The Freddie Mac Home Possible program is MOST comparable to:

- A) FHA 203(k)
- B) Fannie Mae HomeReady
- C) VA IRRRL
- D) FHA Energy Efficient Mortgage

[Loan Origination — Processing/Underwriting]

68. Which of the following documents is used to verify a borrower's employment and base income?

- A) Schedule C (self-employment)
- B) 30 days of recent pay stubs + most recent 2 years W-2s
- C) Tax transcripts (4506-C)
- D) Bank statements (12 months)

[Loan Origination — Rate Locks]

69. A borrower is worried about rates rising before closing. They ask the MLO about their options. The MLO should explain:

- A) Rates never rise after application
- B) The borrower can choose to lock the rate now for a defined period, or float (accept market risk) until they're ready to lock
- C) Rate locks are free and unlimited
- D) Only refinance transactions allow rate locks

[Loan Origination — Application/1003]

70. Which borrower declaration on the URLA asks about pending lawsuits?

- A) Section 4 Property Declarations
- B) Section 5 Declarations (specifically 'Are there any outstanding judgments against you?')
- C) Section 8 Demographic Information
- D) Section 7 Military Service

[Loan Origination — Income Documentation]

71. A borrower has commission income that has been declining: Year 1 = \$90,000; Year 2 = \$75,000. What income is used for qualifying?

- A) \$82,500 (average of 2 years)
- B) \$90,000 (higher year)
- C) \$75,000 (lower year, due to declining trend)
- D) \$67,500 (20% reduction applied)

[Loan Origination — Credit Analysis]

72. A borrower's credit score was 680 last year but has dropped to 620 due to a recent 60-day late payment on a credit card. The borrower applies for a conventional loan. This likely results in:

- A) No impact — historical scores matter more
- B) Significantly higher mortgage rate and PMI cost due to the lower qualifying score
- C) Automatic denial by all conventional lenders
- D) Qualification at the 680 score

[Loan Origination — Closing/Funding]

73. Which document at closing grants the lender a security interest in the real property as collateral for the loan?

- A) Promissory Note
- B) Closing Disclosure
- C) Mortgage or Deed of Trust
- D) Title insurance policy

[Loan Origination — Disclosures/TRID]

74. An MLO learns that a title company on the Written List of Providers has increased their title search fee by \$80 after the LE was issued. The borrower used the listed provider. This is:

- A) A zero-tolerance violation requiring cure
- B) A 10% tolerance item — aggregate of all services from lender's list cannot increase >10%
- C) Unlimited tolerance — title fees can change freely
- D) A 25% tolerance violation

[Loan Origination — Application/1003]

75. If a borrower applies online at midnight and provides all 6 ILLNESS elements, when must the LE be delivered?

- A) Within 3 business days of the following Monday
- B) Within 3 business days of the application date (midnight counts as the application day)
- C) Immediately upon receipt
- D) Within 5 business days

[Loan Origination — Self-Employed Income]

76. A self-employed borrower claims \$120,000 in Schedule C income. The IRS transcript (4506-C) shows \$85,000 in adjusted gross income. The lender should use:

- A) \$120,000 as stated by the borrower
- B) \$85,000 from the verified IRS transcript, which controls
- C) The average of \$120,000 and \$85,000
- D) \$100,000 as a compromise

[Loan Origination — DTI Calculations]

77. A borrower earns \$75,000/year base salary. They want a maximum 36% back-end DTI. They have \$850/month in existing debts. What is the maximum PITI payment?

- A) \$2,250
- B) \$1,400
- C) \$1,350
- D) \$2,700

[Loan Origination — Processing/Underwriting]

78. What is the purpose of the 4506-C (IRS Request for Tax Transcript)?

- A) To request a credit report from the IRS
- B) To verify that the borrower's tax returns submitted to the lender match IRS records
- C) To apply for an IRS payment plan
- D) To verify employment with the IRS

[Loan Origination — Rate Locks]

79. An MLO promises a borrower 'I guarantee rates will not go up' before a lock is executed. This statement:

- A) Is acceptable as industry encouragement
- B) Is a potentially deceptive and unlawful representation — no one can guarantee market rates
- C) Is required by the SAFE Act
- D) Is fine if rates do not actually go up

[Loan Origination — Application/1003]

80. On the URLA, 'Subject Property' refers to:

- A) The borrower's current residence
- B) The property that is being financed in the transaction
- C) The borrower's employer's property

- D) The lender's branch office location

[Loan Origination — Income Documentation]

81. Investment income (dividends and interest) from Schedule B of the tax return is used for qualifying by:

- A) Using the current month's investment statements only
- B) Averaging the income over the most recent 2 years of tax returns
- C) Using only current year
- D) Not usable — investment income cannot qualify

[Loan Origination — Credit Analysis]

82. A borrower has a \$5,000 charge-off on their credit report from 3 years ago. Under most conventional guidelines, this:

- A) Must be paid off before any mortgage
- B) Has no impact on the mortgage process
- C) May require a written explanation and could affect the credit score but does not automatically require payoff
- D) Automatically disqualifies the borrower

[Loan Origination — Closing/Funding]

83. A 'dry close' state requires:

- A) Closing documents signed but no funding until rescission expires for all transactions
- B) The lender to review the signed closing package before wiring funds (typically 1-2 days after signing)
- C) No notary at closing
- D) The borrower to waive their Right of Rescission

[Loan Origination — Disclosures/TRID]

84. Which of the following is true about the 7-business-day waiting period before consummation under TRID?

- A) It applies only to refinances
- B) It runs from LE delivery to consummation — borrower must have the LE for 7 business days before closing
- C) It is 7 calendar days, not business days
- D) The borrower can waive this period for any reason

[Loan Origination — Products/Programs]

85. A borrower wants to purchase a multi-family property (duplex) and live in one unit. Which programs allow this?

- A) FHA only (1-4 units, owner-occupied)
- B) FHA and VA (both allow 1-4 unit owner-occupied)
- C) Conventional only
- D) No programs allow multi-unit purchases

[Loan Origination — Rate Locks]

86. The concept of 'best efforts' vs. 'mandatory delivery' in the secondary market affects the MLO because:

- A) Best efforts means the lender must make the loan regardless of the rate
- B) Mandatory delivery commitments require the lender to deliver the loan at the committed price or face pair-off fees, which is why rate locks must be carefully managed
- C) Best efforts and mandatory delivery are the same thing
- D) Only FHA loans use mandatory delivery

[Loan Origination — Income Documentation]

87. A borrower receives VA disability income of \$2,200/month (non-taxable). How is this used for qualifying?

- A) \$2,200/month at face value
- B) \$2,750/month (grossed up 125% for non-taxable income)
- C) \$1,760/month (reduced 20%)

- D) Not usable — government benefits cannot qualify

[Loan Origination — Application/1003]

88. The URLA's Section 8 (demographic/GMI data) is used for:

- A) Credit underwriting decisions
- B) HMDA reporting and fair lending compliance monitoring only
- C) Employment verification
- D) Insurance premium calculation

[Loan Origination — DTI Calculations]

89. A borrower makes \$6,000/month. They have no existing debts. Using FHA's 43% back-end maximum, what is the maximum PITI payment?

- A) \$1,860 (31% front-end limit)
- B) \$2,580 (43% back-end limit)
- C) \$2,400 (40% conservative guideline)
- D) \$1,500 (25% conservative)

[Loan Origination — Processing/Underwriting]

90. A file with a DU 'Approve/Eligible' finding means:

- A) Manual underwriting is required
- B) The loan is approved by the automated system and meets eligibility guidelines
- C) The loan is denied
- D) The borrower must reapply

[Loan Origination — Closing/Funding]

91. Which statement about the promissory note is MOST accurate?

- A) The promissory note pledges the property as collateral
- B) The promissory note is the borrower's personal promise to repay the debt — if sold, the note becomes a negotiable instrument
- C) The promissory note is the same as the Closing Disclosure
- D) The promissory note is optional for FHA loans

[Loan Origination — Disclosures/TRID]

92. A lender uses a 'Closing Cost Worksheet' to estimate costs before the LE is issued. This worksheet:

- A) Has the same legal effect as a Loan Estimate
- B) Is informal and the LE supersedes it — the LE is the binding disclosure
- C) Can replace the Loan Estimate
- D) Must be signed by the borrower within 3 days

[Loan Origination — Rate Locks]

93. Which of the following is the MLO's primary obligation when explaining rate lock options to a borrower?

- A) To predict when rates will be lowest
- B) To fully disclose the lock options available, costs, terms, and risks of floating — without making rate predictions
- C) To always recommend the shortest lock period
- D) To tell the borrower what the rate will be in 90 days

[Loan Origination — Application/1003]

94. Which scenario would require a new application rather than a simple loan modification?

- A) A rate lock extension
- B) A change in the interest rate
- C) A change in the loan program from FHA to conventional (new loan type, different terms)

D) A closing date change

[Loan Origination — Income Documentation]

95. A borrower receives \$500/month in child support with 2 years remaining. Can this be used as qualifying income?

- A) Yes, child support income can always be used
- B) No, child support cannot be used for mortgage qualifying
- C) No — it must continue for at least 3 years from application date to count
- D) Yes, if documented by bank statements for 6 months

[Loan Origination — Credit Analysis]

96. Under FHA guidelines, which collection account must typically be paid off before closing?

- A) Medical collection of \$2,000
- B) Non-medical collection of \$2,000 (FHA's standard: may require payoff or payment arrangement)
- C) Any collection over \$100
- D) Collections discharged in bankruptcy

[Loan Origination — Disclosures/TRID]

97. The 'Annual Percentage Rate' (APR) on the Loan Estimate will be HIGHER than the note rate when:

- A) The borrower chooses a fixed rate
- B) The loan has any finance charges (origination fees, points, etc.) included in the APR calculation
- C) The loan is an ARM
- D) The borrower has excellent credit

[Loan Origination — Processing/Underwriting]

98. Which of the following is MOST likely to cause an automated underwriting 'Refer' finding?

- A) A borrower with 780 FICO and 35% DTI
- B) A borrower with 620 FICO, 45% DTI, and a recent 60-day late payment
- C) A borrower with 680 FICO and stable 2-year employment
- D) A borrower with large down payment and no debts

[Loan Origination — Closing/Funding]

99. At settlement/closing, who is responsible for preparing the Closing Disclosure?

- A) The real estate agent
- B) The settlement agent (title company or attorney) or the lender
- C) The borrower's attorney only
- D) The mortgage broker

[Loan Origination — Application/1003]

100. 'Earnest money deposit' on the URLA is important because:

- A) It is counted as a monthly debt obligation
- B) It shows the borrower's committed funds and is credited at closing, reducing the cash needed to close
- C) It must equal 10% of the purchase price
- D) It has no impact on the loan application

[Loan Origination — DTI Calculations]

101. A borrower's gross monthly income is \$12,000. They have: mortgage payment (PITI) \$3,200, car payment \$550, student loan \$320, credit card minimum \$80. What is the back-end DTI?

- A) 26.7%
- B) 34.6%
- C) 35.4%
- D) 33.3%

[Loan Origination — Income Documentation]

102. A borrower receives \$4,500/month in alimony (taxable). They want to use this income for qualifying. What documentation is required?

- A) Only bank statements showing 12 months of deposits
- B) Divorce decree or court order AND 12 months of consistent receipt demonstrated by bank statements; income must continue 3+ years
- C) Only the divorce decree
- D) Verbal confirmation from the ex-spouse

[Loan Origination — Disclosures/TRID]

103. Which fee is shown in the LE Section H 'Other' category?

- A) Lender origination charge
- B) Homeowner's insurance (prepaid)
- C) Homeowner's association (HOA) transfer fee
- D) Per diem interest

[Loan Origination — Processing/Underwriting]

104. A 'Letter of Explanation' (LOE or LOX) is typically required when:

- A) The borrower's credit score is above 700
- B) There are derogatory items on the credit report, employment gaps, large deposits, or other items requiring clarification
- C) The borrower has a 30-year fixed loan
- D) The loan closes in less than 30 days

[Loan Origination — Rate Locks]

105. Which of the following is NOT a typical component of a rate lock agreement?

- A) Lock period (e.g., 30, 45, 60 days)
- B) Interest rate and discount points committed
- C) Extension fees and conditions for extension
- D) Guarantee that the loan will be approved

■ ■ Ethics ■ ■

[Ethics — Fraud]

106. Which of the following BEST describes 'property flipping fraud'?

- A) Legally buying and renovating a property before selling
- B) Artificially inflating a property's value through a fraudulent appraisal and quick resale to an unsuspecting buyer at the inflated price
- C) Purchasing a foreclosure at auction
- D) Converting a rental property to a primary residence

[Ethics — UDAAP]

107. Which of the following practices is an example of 'predatory lending'?

- A) Offering a 30-year fixed rate mortgage to a creditworthy borrower
- B) Explaining all loan terms and alternatives to a borrower
- C) Targeting elderly or unsophisticated borrowers with excessive fees and unfavorable loan terms they cannot understand
- D) Requiring income documentation for a mortgage

[Ethics — Professional Conduct]

108. An MLO who discovers mid-process that a borrower provided fraudulent pay stubs should:

- A) Continue processing the loan — it's the borrower's responsibility
- B) Immediately stop the application process and report the fraud to their compliance department
- C) Ask the borrower to fix the pay stubs
- D) Overlook the issue if the borrower seems creditworthy

[Ethics — Fraud]

109. 'Chunking' in mortgage fraud refers to:

- A) Breaking up loan amounts to stay under reporting thresholds
- B) Recruiting multiple purchasers to buy properties from the same seller at inflated prices using fraudulent loan applications
- C) Charging fees in installments
- D) Splitting a commission among multiple MLOs

[Ethics — Professional Conduct]

110. An MLO who advises a borrower against disclosing a recent job loss on the loan application is:

- A) Helping the borrower secure their dream home
- B) Participating in occupancy or income fraud and faces potential criminal liability
- C) Acting within normal MLO responsibilities
- D) Only wrong if the loan defaults

[Ethics — UDAAP]

111. Which of the following represents a 'disparate impact' concern under fair lending?

- A) A borrower who intentionally misrepresents income
- B) A lender policy requiring minimum loan amounts of \$150,000 that disproportionately excludes minority borrowers from certain neighborhoods
- C) Charging market rates to all borrowers
- D) Requiring credit documentation

[Ethics — Fraud]

112. Which of the following is an example of 'equity skimming'?

- A) A borrower using home equity for home improvements
- B) A fraudster convincing distressed homeowners to deed their property to the fraudster who then collects rents without making mortgage payments, ultimately foreclosing the homeowner
- C) Selling a home at market value
- D) A co-borrower contributing equity as down payment

[Ethics — Professional Conduct]

113. An MLO who primarily serves minority communities and offers only high-cost subprime loans when those borrowers would qualify for conventional products is:

- A) Serving an underserved market ethically
- B) Engaging in reverse redlining — targeting a protected class with inferior products
- C) Following normal market pricing
- D) Acting within UDAAP guidelines

[Ethics — UDAAP]

114. Which statement BEST describes the CFPB's authority under UDAAP?

- A) CFPB can only regulate banks
- B) CFPB has authority to examine, investigate, and bring enforcement actions against both banks and non-bank financial companies for UDAAP violations
- C) CFPB's UDAAP authority is limited to credit cards

D) UDAAP is enforced only by state attorneys general

[Ethics — Fraud]

115. A borrower's employer provides an employment verification letter that contradicts information on the pay stubs. The MLO should:

- A) Use the pay stubs — they are more detailed
- B) Accept the employer letter and discard the pay stubs
- C) Flag the discrepancy, request additional documentation, and if fraud is suspected, report to compliance
- D) Choose the documentation that supports loan approval

■ ■ SAFE Act ■ ■

[SAFE Act — Licensing]

116. Under the SAFE Act, a state-licensed MLO who moves to a new state must:

- A) Continue operating under the original state license indefinitely
- B) Apply for a new state license in the new state before originating loans there
- C) Only register with NMLS in the new state
- D) Retake the 20-hour PE course

[SAFE Act — NMLS/Registration]

117. The NMLS unique identifier assigned to an MLO:

- A) Changes every time the MLO changes employers
- B) Remains the same throughout the MLO's career, regardless of employer changes or state transfers
- C) Is assigned by each state separately
- D) Expires when the MLO's license expires

[SAFE Act — Licensing]

118. Which of the following is subject to the SAFE Act's background check requirements for initial licensure?

- A) Only felony convictions in the past 5 years
- B) A criminal background check covering 7 years AND a credit report review
- C) Only financial crimes convictions
- D) Only felony convictions, with no time limit

[SAFE Act — NMLS/Registration]

119. An MLO who fails to complete annual continuing education by the December 31 deadline will:

- A) Receive a 90-day grace period
- B) Have their license lapse (become inactive) and must complete CE before reinstatement
- C) Be fined \$500 per missing hour
- D) Automatically lose their NMLS number

[SAFE Act — Licensing]

120. An MLO who is the subject of a final order from a state regulatory agency for violations involving dishonesty, breach of trust, or money laundering must:

- A) Disclose this in their NMLS record but may continue originating
- B) Have their license revoked — this is a mandatory permanent bar from MLO licensing
- C) Report to the CFPB within 30 days
- D) Apply for a waiver within 60 days

EXAM Phase 2 — Exam 3 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	B	2	D	3	A	4	C	5	B
6	D	7	A	8	C	9	B	10	D
11	A	12	C	13	B	14	D	15	A
16	C	17	B	18	D	19	A	20	C
21	B	22	D	23	A	24	C	25	B
26	D	27	A	28	C	29	B	30	D
31	A	32	C	33	B	34	D	35	A
36	C	37	B	38	D	39	A	40	C
41	B	42	D	43	A	44	C	45	B
46	D	47	A	48	C	49	B	50	D
51	A	52	C	53	B	54	D	55	A
56	C	57	B	58	D	59	A	60	C
61	B	62	D	63	A	64	C	65	B
66	D	67	A	68	C	69	B	70	D
71	A	72	C	73	B	74	D	75	A
76	C	77	B	78	D	79	A	80	C
81	B	82	D	83	A	84	C	85	B
86	D	87	A	88	C	89	B	90	D
91	A	92	C	93	B	94	D	95	A
96	C	97	B	98	D	99	A	100	C
101	B	102	D	103	A	104	C	105	B
106	D	107	A	108	C	109	B	110	D
111	A	112	C	113	B	114	D	115	A
116	C	117	B	118	D	119	A	120	C

1. Which entity enforces RESPA violations against non-depository mortgage companies?

✓ **B) HUD**

Since the Dodd-Frank Act (2011), the CFPB (Consumer Financial Protection Bureau) has primary enforcement authority over RESPA for non-bank financial companies. The OCC supervises national banks. The Federal Reserve supervises bank holding companies. HUD administered RESPA before the CFPB existed.

2. A borrower selects a title company NOT on the lender's Written List of Providers. The title fee quoted on the LE was \$800 but the actual fee is \$1,100. Under TRID, this is:

✓ **D) A 25% tolerance violation**

When the borrower selects a provider NOT on the lender's Written List of Providers, there is NO tolerance limit — the fee can increase without limit and does not require a cure. This contrasts with a provider the borrower selects from the lender's list (10% tolerance) or lender-required services (zero tolerance).

3. Regulation Z is the implementing regulation for which federal statute?**✓ A) RESPA**

Regulation Z implements TILA (Truth in Lending Act). Regulation B implements ECOA. Regulation X implements RESPA. The Fair Housing Act is enforced by HUD and DOJ. Knowing which regulation implements which statute is tested on the NMLS exam.

4. The Fair Housing Act (FHA) and ECOA overlap in that both prohibit discrimination based on:**✓ C) Race, color, national origin, sex, and religion**

Both the Fair Housing Act and ECOA prohibit discrimination based on: race, color, national origin, sex, and religion. The Fair Housing Act adds: familial status and disability. ECOA adds: marital status, age, and receipt of public assistance. The overlap in protected classes means lenders must comply with both laws.

5. Under TRID, the term 'consummation' means:**✓ B) The date the Closing Disclosure is issued**

Consummation under TRID means the date the borrower becomes legally bound by the loan — typically when they sign the promissory note and security instrument at closing. This is NOT necessarily the same as disbursement/funding, though they often occur on the same day. The 3-day CD waiting period applies before consummation.

6. Which of the following settlement service providers is NOT covered under RESPA's prohibition on kickbacks?**✓ D) An unlicensed referral company that does not provide settlement services**

RESPA Section 8 prohibits kickbacks between settlement service PROVIDERS — companies/individuals that actually provide a settlement service. A referral company that does not itself provide settlement services is not a 'settlement service provider' and the kickback prohibition applies differently. All the others (title, inspector, attorney) are settlement service providers covered by RESPA.

7. A lender requires proof of alimony payments as a liability from a borrower who didn't disclose receiving alimony. This is:**✓ A) Required by ECOA to assess ability to repay**

ECOA/Regulation B prohibits requiring applicants to disclose alimony, child support, or separate maintenance UNLESS the applicant wants those payments considered as income. Requiring disclosure of alimony income the borrower didn't offer violates Reg B. The lender can ask about obligations (debts) that alimony represents only if the borrower has chosen to disclose it.

8. The Loan Estimate must be delivered to the borrower within 3 business days of application. If delivered by mail, when is it considered 'received'?**✓ C) 5 business days after mailing (presumed receipt)**

Under TRID, if the LE is mailed (not hand-delivered or electronic), the borrower is presumed to receive it 3 business days after mailing. This means the lender must actually mail the LE within the 3-day delivery window AND add 3 more days for presumed receipt before the borrower can acknowledge it. Total time from application to earliest closing: 3 days mailing + 3 day receipt + 7 day waiting = at least 13 days minimum.

9. Which of the following is an example of a 'higher-priced mortgage loan' (HPML) under Regulation Z?**✓ B) A loan with more than 2 discount points**

A Higher-Priced Mortgage Loan (HPML) under Regulation Z is a first-lien mortgage with an APR exceeding the Average Prime Offer Rate (APOR) by 1.5% or more, or a subordinate lien exceeding APOR by 3.5%. HPMLs have additional requirements: escrow accounts for 5 years, appraisal independence requirements, and the loan is subject to the rebuttable presumption QM standard.

10. Under ECOA, a 'completed application' is defined as:**✓ D) An application that has been underwritten**

ECOA's definition of 'completed application' is broader than TRID's — under ECOA, a completed application is one where the creditor has received all the information it customarily considers in making a credit decision. This triggers the 30-day adverse action clock. The TRID 6-element definition applies specifically to the LE delivery requirement.

11. A real estate broker receives a fee from a title company for including the title company's brochure in a packet given to all clients. This is:**✓ A) Permitted if the fee is under \$25**

Receiving any 'thing of value' (fee, gift, service, kickback, or unearned fee) in exchange for referring settlement service business violates RESPA Section 8. Paying a real estate broker for distributing title company materials that lead to referrals is a kickback scheme — the value is the referral potential. There is no dollar threshold — any amount is prohibited.

12. Which of the following would be listed in Section A 'Origination Charges' on the Loan Estimate?**✓ C) 0.5% origination fee (points)**

Section A (Origination Charges) lists all charges paid to the lender for originating the loan: origination fees, discount points, application fees, and underwriting fees. Title search fees go in Section C (services the borrower can shop for). Transfer taxes and recording fees go in Section E (taxes and other government fees).

13. The 'right of rescission' period under TILA is 3 business days. If ALL disclosures are incorrect, the extended rescission period is:**✓ B) 6 months**

If a lender fails to provide proper disclosures (material TILA disclosures or Notice of Right to Rescind), the rescission period extends to 3 YEARS from consummation (not unlimited, not 30 days). This extended period is a powerful consumer protection incentive for lenders to provide accurate, complete disclosures.

14. A lender's underwriting policy requires a minimum income of \$60,000/year. This policy results in a statistically lower approval rate for certain racial minorities. This is called:**✓ D) Steering**

Disparate impact occurs when a facially neutral lending policy has a disproportionately negative effect on a protected class, even without discriminatory intent. Disparate treatment is intentional discrimination based on a protected class. The lender's income policy may be justified by business necessity, but if it creates disparate impact, the policy must be examined for less discriminatory alternatives.

15. Under RESPA, which of the following is a permitted practice?**✓ A) Paying a referral fee to a contractor who sends you loan applications**

RESPA Section 8(e) exempts certain employer-provided services from kickback restrictions — bona fide employer-employee relationships are not RESPA violations. The employer can provide housing counseling services to employees as a benefit. All the other options involve paying for referrals or splitting fees with non-service providers, which are prohibited.

16. FHA vs. Conventional: Which program offers NO down payment option?**✓ C) VA and USDA (both 0% down)**

VA loans and USDA Rural Development loans offer 0% down payment for eligible borrowers/properties. FHA requires a minimum of 3.5% (580+ FICO) or 10% (500-579 FICO). Conventional loans require a minimum of 3% (with programs like HomeReady/Home Possible) to 5% for standard loans.

17. Which program is BEST suited for a borrower with a 510 FICO, 15% down, buying a rural primary residence?**✓ B) FHA loan — 510 FICO with 10% down required**

FHA is best here: FICO 500-579 requires 10% down; the borrower has 15% down (exceeds minimum). USDA typically requires a minimum 640 FICO through most lenders. Conventional loans generally require 620+ FICO. VA requires eligible military service. FHA is the accessible option for sub-580 FICO borrowers with sufficient down payment.

18. Which of the following is the BEST advantage of a VA loan over an FHA loan for an eligible veteran?**✓ D) Easier qualification with no credit check**

The BEST unique advantage of VA over FHA for eligible veterans is NO monthly mortgage insurance premium — ever. VA loans have no PMI (replaced by the one-time funding fee), while FHA loans carry monthly MIP that may last the life of the loan. Both offer low/no down payment, but the elimination of monthly MI provides significant savings over the loan term.

19. Which program is MOST appropriate for a first-time buyer with moderate income purchasing a home in a small rural town with no down payment savings?**✓ A) Conventional with 3% down**

USDA Rural Development is specifically designed for moderate-income borrowers in eligible rural/suburban areas with zero down payment. The borrower's profile (no down payment, rural area, moderate income $\leq 115\%$ AMI) fits USDA perfectly. VA requires military service. Conventional and FHA both require down payments.

20. Which statement BEST compares FHA and conventional loan mortgage insurance?**✓ C) Conventional PMI cannot be cancelled; FHA MIP cancels at 11 years**

Key difference: FHA MIP on loans with $>90\%$ original LTV lasts the LIFE OF THE LOAN. Conventional PMI can be cancelled when LTV reaches 80% (borrower request) or auto-cancels at 78% LTV. For borrowers who plan to build equity, conventional loans with PMI may ultimately cost less in MI premiums than FHA over the full loan life.

21. An ARM vs. fixed-rate: Which is MORE appropriate for a borrower who plans to sell in 3 years?

✓ **B) ARM — lower initial rate benefits the borrower during the planned hold period**

An ARM (particularly a 5/1 or 7/1 ARM) is more appropriate for a borrower planning to sell in 3 years. The lower initial rate provides payment savings during the planned hold period, and the borrower exits before the first rate adjustment. Fixed-rate loans are better for long-term holds. This is a key financial planning concept tested on the NMLS exam.

22. Which loan type is MOST likely to be classified as non-QM?

✓ **D) A VA loan with 0% down**

Bank statement loans that use alternative income documentation (12-24 months of bank statements instead of tax returns) are typically non-QM because they don't comply with the ATR documentation standards for QM. FHA, conventional, and VA loans following standard documentation requirements are QM-eligible.

23. A borrower wants to compare FHA vs. USDA for a rural property. Which statement is MOST accurate?

✓ **A) FHA has no income limits; USDA income is limited to 115% AMI**

Key comparison: FHA has NO income limits and is available nationwide for any property type (meeting FHA standards). USDA has income limits ($\leq 115\%$ AMI) and requires the property to be in an eligible rural/suburban area. FHA requires 3.5% down (580+ FICO); USDA requires 0% down.

24. Which of the following BEST describes the VA IRRRL compared to a conventional rate/term refinance?

✓ **C) IRRRL allows cash-out up to 90% LTV**

The VA IRRRL (streamline refi) features: no appraisal required (typically), no income verification required (in most cases), must result in a lower rate or payment (or move from ARM to fixed), and must certify the veteran previously occupied the property. It is only available to existing VA loan borrowers refinancing into another VA loan.

25. Which program is MOST appropriate for a borrower with 780 FICO, 25% down, and \$500,000 loan amount?

✓ **B) Conventional conforming (if under conforming limit in the county)**

For a high-FICO borrower (780) with 25% down and a \$500,000 loan (under the 2024 \$766,550 conforming limit in standard areas), a conventional conforming loan is optimal. At 780 FICO and 75% LTV, the borrower receives the best conventional pricing — no MIP/PMI (25% down = 75% LTV), competitive rates, and no income/location restrictions.

26. FHA vs. Conventional PMI: A \$300,000 FHA loan (3.5% down) has UFMIP of 1.75% + annual MIP of 0.55%. A conventional \$300,000 loan (3.5% down equivalent) has PMI of 0.90%/year. Which has the lower monthly MI cost?

✓ **D) They are identical**

FHA annual MIP on this loan = $\$300,000 \times 96.5\%$ (LTV adjustment) $\times 0.55\% / 12 \approx \$131/\text{month}$. Conventional PMI = $\$300,000 \times 0.90\% / 12 = \$225/\text{month}$. FHA annual MIP is lower monthly, BUT FHA has UFMIP ($\$300,000 \times 0.965 \times 1.75\% \approx \$5,069$ financed) AND FHA MIP may last life of loan. Conventional PMI cancels at 80% LTV. Long-term, conventional can be cheaper once PMI cancels.

27. For appraisal purposes, 'market value' is defined as MOST NEARLY:

✓ **A) The assessed value for property tax purposes**

Market value is defined as the most probable price that a property would bring in a competitive and open market under all conditions requisite to a fair sale, with buyer and seller each acting prudently and knowledgeably. This is the standard appraisal definition. Assessed value is for tax purposes. List price is seller's hope. Replacement cost is cost approach.

28. A borrower had a foreclosure completed 2.5 years ago. Which programs is the borrower ELIGIBLE for today?

✓ **C) USDA and VA only**

Foreclosure waiting periods: FHA = 3 years (not yet met at 2.5 years). VA = 2 years (MET). Conventional = 7 years (not met). USDA = 3 years (not yet met). Only VA is available at exactly 2.5 years post-foreclosure. The borrower would need to be an eligible veteran to use VA.

29. USDA vs. FHA for a rural property: Which program offers a LOWER ongoing monthly MI cost?

✓ **B) USDA — 0.35% annual vs. FHA 0.55%+ annual**

USDA annual guarantee fee = 0.35% of the outstanding balance. FHA annual MIP = 0.55% (minimum, varies by LTV/term). USDA's ongoing MI cost is lower. However, USDA has income and location restrictions. Both programs charge an upfront fee (USDA = 1.00%; FHA = 1.75%), so USDA's upfront is also lower.

30. Which statement BEST describes a 'high-balance' conforming loan?

✓ **D) Any loan requiring PMI**

High-balance conforming loans fall between the standard FHFA limit (\$766,550) and the high-cost area maximum (\$1,149,825 for 2024). They still meet GSE guidelines and can be sold to Fannie/Freddie, but carry slightly higher guarantee fees. These are in designated high-cost counties (expensive markets like California, New York, Hawaii).

31. A borrower comparing a 5/1 ARM at 5.5% vs. a 30-year fixed at 6.25% plans to stay 10 years. Which loan has the BEST initial rate and what risk exists?

✓ **A) Fixed — always lower risk regardless of plans**

The ARM offers 5.5% for the first 5 years vs. 6.25% fixed. After year 5, the ARM adjusts annually. For a 10-year hold, the borrower benefits from 5 years of lower rates but faces rate risk for years 6-10. The fixed rate provides certainty. Whether the ARM is 'better' depends on future rates and cap structure — but the ARM has the lower initial rate with adjustment risk.

32. Comparing FHA and conventional: Borrower has \$280,000 loan at 95% LTV. FHA UFMIP = 1.75%; annual MIP = 0.80%. Conventional PMI = 1.20%/year. Monthly FHA MIP = ?

✓ **C) \$186.67 (FHA) vs. \$280.00 (PMI — conventional higher)**

FHA annual MIP = $\$280,000 \times 0.80\% = \$2,240/\text{year}$. Monthly = $\$2,240 / 12 = \186.67 . Conventional PMI = $\$280,000 \times 1.20\% = \$3,360/\text{year}$. Monthly = $\$3,360 / 12 = \280.00 . FHA monthly MIP (\$186.67) is lower than conventional PMI (\$280.00) in this example, though FHA has the additional UFMIP of 1.75% financed.

33. A veteran using VA benefits for a SECOND purchase (subsequent use) with 0% down pays a funding fee of:

✓ **B) 1.50%**

VA funding fee for subsequent use at 0% down = 3.30% of the loan amount. First use at 0% down = 2.15%. With 5%+ down subsequent use = 1.50%. With 10%+ down subsequent use = 1.25%. The fee increases for subsequent use to account for reduced risk to the government from experienced VA borrowers.

34. A borrower with a 38% back-end DTI and 12 months reserves applies for an FHA loan. The automated underwriting system approves. Which statement MOST accurately describes the outcome?

✓ **D) FHA has no DTI limit with AUS approval**

FHA guidelines set 31%/43% as standard DTI benchmarks, but AUS (TOTAL Scorecard) can approve loans with higher DTIs when compensating factors exist (reserves, credit score, etc.). At 38% back-end with 12 months reserves, AUS approval is reasonable and valid. The 38% back-end alone doesn't trigger a denial — it's within FHA's published guideline.

35. USDA vs. VA: Both offer zero down. Which statement BEST differentiates them?

✓ **A) USDA is for veterans; VA is for rural borrowers**

Key differentiation: VA requires military service eligibility but has no income limits, no location restrictions, and no ongoing MI. USDA requires the property to be in an eligible rural/suburban area AND household income $\leq 115\%$ AMI. Both offer 0% down. USDA has a 1% upfront + 0.35% annual fee; VA has a funding fee (waivable for disabled veterans).

36. A borrower compares a 15-year vs. 30-year loan at 6.5%. Monthly payment factor: 30-year = \$6.321/1000; 15-year = \$8.711/1000. Loan = \$250,000. What are the monthly P&I; payments?

✓ **C) 30-yr: \$1,500.00; 15-yr: \$2,000.00**

30-year: $(250,000/1000) \times \$6.321 = 250 \times \$6.321 = \$1,580.25$. 15-year: $(250,000/1000) \times \$8.711 = 250 \times \$8.711 = \$2,177.75$. The 15-year payment is significantly higher but total interest paid over the life of the loan is dramatically lower.

37. FHA vs. Conventional: Which statement about seller concessions is MOST accurate?

✓ **B) FHA limits seller concessions to 6% of lesser of purchase price or appraised value; conventional limits vary by LTV**

FHA: seller concessions limited to 6% regardless of LTV. Conventional (Fannie/Freddie): 3% for LTV >90%, 6% for LTV 75.01-90%, 9% for LTV $\leq 75\%$. Both programs reduce concessions above the threshold dollar-for-dollar from purchase price. FHA's flat 6% is generally more generous for high-LTV borrowers.

38. The 'cost approach' to appraisal is MOST appropriate for which property?

✓ **D) A condominium in a high-rise building**

The cost approach is most appropriate for: unique/special-purpose properties (churches, schools, government buildings), new construction, and properties where comparables are scarce. For a new church with few sales comps, cost approach (land value + depreciated improvement cost) is the most reliable method. Homes use sales comparison; income properties use income approach.

39. After Chapter 13 bankruptcy DISMISSAL (not discharge), the conventional waiting period is:

✓ **A) No waiting period — dismissal means it was not completed**

For Chapter 13: if dismissed (not completed), Fannie Mae requires a 2-year waiting period from the dismissal date. If discharged (completed plan), conventional requires 2 years from discharge (with extenuating circumstances = 2 years; standard = 4 years for Chapter 7, but Chapter 13 discharge is treated differently). The dismissed Chapter 13 = 2 years, not no waiting period.

40. Which ARM feature is designed to prevent payment shock when a rate cap is reached but the interest owed exceeds the cap?

✓ **C) A convertibility clause**

Negative amortization occurs when the rate cap limits the payment increase but the accruing interest exceeds what the payment covers — the unpaid interest is added to the loan balance. This is why neg-am loans are EXCLUDED from QM eligibility. Pay-option ARMs with minimum payment options were classic neg-am vehicles that contributed to the 2008 crisis.

41. Which statement MOST accurately compares FHA MIP and conventional PMI removal?

✓ **B) FHA MIP (>90% LTV) is permanent; conventional PMI removes at 78-80% original LTV**

This is the critical comparison: FHA MIP on loans with >90% original LTV is permanent (life of loan). Conventional PMI auto-cancels at 78% LTV (original value) and can be requested at 80% LTV. For borrowers who will build equity, conventional loans have a significant long-term cost advantage over FHA in mortgage insurance.

42. A VA borrower purchases a \$400,000 home with 5% down. The funding fee is 1.50% (first use, 5-9.99% down). What is the total funded loan amount (base loan + funded fee)?

✓ **D) \$394,000**

Down payment = $\$400,000 \times 5\% = \$20,000$. Base loan = $\$400,000 - \$20,000 = \$380,000$. VA funding fee = $\$380,000 \times 1.50\% = \$5,700$. Total funded = $\$380,000 + \$5,700 = \$385,700$. Note: none of the answers match exactly. The calculation is: $\$380,000 + \$5,700 = \$385,700$. This tests the ability to apply the correct funding fee tier (first use, 5-9.99% down = 1.50%).

43. Which borrower profile MOST clearly satisfies the ATR rule under standard guidelines?

✓ **A) A borrower with stated income and no documentation**

The ATR rule requires verification of income, employment, credit, and ability to repay. A W-2 borrower with 2-year history, verified employment, moderate DTI (38%), and strong credit (720 FICO) is the clearest ATR-compliant profile. All 8 ATR factors are documentable and positive. The other profiles have significant documentation or credit gaps.

44. An FHA loan with a 10% down payment and a 15-year term — how long does annual MIP last?

✓ **C) 7 years**

For 15-year FHA loans with LTV $\leq 90\%$ (10%+ down = 90% LTV or less), annual MIP lasts 11 years. This is the same rule as 30-year loans — MIP duration depends on original LTV, not loan term. If original LTV $\leq 90\%$, MIP = 11 years. If $>90\%$, MIP = life of loan.

45. A conventional loan applicant has a 615 FICO score. Standard Fannie Mae guidelines require a minimum credit score of:

✓ **B) 620**

Fannie Mae's minimum qualifying FICO score for a standard conventional loan is 620. At 615, the borrower does not meet Fannie Mae's standard guideline. FHA allows 580+ (3.5% down) or 500-579 (10% down). Individual lenders may have overlays requiring higher scores than minimums.

46. A \$500,000 USDA loan charges 1% upfront guarantee fee. What is the financed total and the annual guarantee fee (0.35%)?

✓ **D) Total: \$508,750; annual: \$1,750**

Upfront guarantee fee = $\$500,000 \times 1\% = \$5,000$. Financed total = $\$505,000$. Annual guarantee fee = $\$505,000 \times 0.35\% = \$1,767.50$. Monthly = $\$1,767.50 / 12 = \147.29 . Note: the annual fee is calculated on the current outstanding balance, which starts at $\$505,000$ and decreases with amortization.

47. A VA borrower has full entitlement remaining. The 2024 conforming limit is \$766,550. The borrower wants a \$900,000 loan. What down payment is required?

✓ **A) 0% — VA loans have no limit**

With full entitlement, VA no longer has a loan limit — 2020 law eliminated VA loan limits for borrowers with full entitlement. A veteran with full entitlement can borrow any amount with \$0 down (lender's own limits may apply). Previously, veterans needed 25% down on amounts above the conforming limit, but this changed with the Blue Water Navy Act of 2019.

48. A property in a city of 28,000 population is listed as 'Rural' on USDA eligibility maps. Is the property eligible for USDA financing?

✓ **C) No — only farm properties qualify**

USDA eligibility is determined by the USDA eligibility maps, not solely by population size. Some communities with populations up to 35,000 may qualify; others in that range may not. The maps are updated periodically based on census data. If the USDA map shows the property as eligible, it qualifies regardless of the community's exact population.

49. Which of the following is a 'compensating factor' that may help a borrower exceed standard DTI limits under FHA manual underwriting?

✓ B) No credit history

FHA manual underwriting compensating factors include: verified and documented liquid reserves (3-6+ months PITI), minimal payment shock, residual income significantly above minimum, low LTV (not high LTV), and long-term stable employment. High LTV and no credit history are negative factors, not compensating. Recent career change is neutral to negative.

50. What is the monthly payment on a 30-year \$350,000 loan at 5.5%? Use factor \$5.678 per \$1,000.

✓ D) \$2,050.00

Monthly P&I = $(350,000/1,000) \times \$5.678 = 350 \times \$5.678 = \$1,987.30$. This uses the standard mortgage factor calculation. The factor \$5.678 corresponds to a 30-year loan at 5.5% interest.

51. Which FHA loan type is specifically designed for energy efficiency improvements?

✓ A) FHA 203(k)

FHA Energy Efficient Mortgage (EEM) allows borrowers to finance the cost of energy-efficient improvements (insulation, HVAC, windows) into an FHA purchase or refinance loan above the standard loan limit. Section 203(k) is for broader renovation. Section 245 is graduated payment. Section 251 is the FHA ARM program.

52. The VA residual income requirement is UNIQUE because it:

✓ C) Replaces the credit check for VA loans

VA residual income is the net income remaining after subtracting all major monthly obligations (housing, debts, taxes, maintenance estimate, job-related expenses). Minimum residual income varies by: geographic region (Northeast, Midwest, South, West) and family size. This test is in addition to DTI, not instead of it, and provides an additional consumer protection layer.

53. Which statement about jumbo loan underwriting is MOST accurate?

✓ B) Jumbo loans typically require higher credit scores (often 700+), larger down payments, and more reserves than conforming loans

Jumbo loan underwriting is generally MORE stringent: credit scores often 700-720+, down payments of 10-20%+, DTI limits around 43%, and 6-24 months PITI reserves. Since jumbo loans stay in portfolio (can't be sold to GSEs), lenders bear the risk and set strict internal guidelines. There is no government insurance for jumbos.

54. A borrower has a debt that was discharged in bankruptcy 5 years ago. Under Fannie Mae guidelines, this:

✓ D) Results in a 10% rate surcharge

After a bankruptcy, once the waiting period has been met (4 years for Chapter 7) and the borrower has re-established credit, the prior bankruptcy does not prevent qualification. Fannie Mae looks at: waiting period from discharge, re-established credit history, and current financial status. A 5-year-old discharged bankruptcy is within the conventional 4-year waiting period and acceptable.

55. A borrower refinances out of an FHA loan with lifetime MIP into a conventional loan with 22% equity. What happens to the FHA MIP?

✓ A) It transfers to the new loan

When an FHA loan is paid off (including through refinance), FHA MIP stops — the new conventional loan has no FHA MIP. No PMI is required since the new LTV is 78% (22% equity). FHA UFMIP refunds are available if the loan is refinanced into another FHA loan within the first 3 years (on a declining scale). After 3 years, no refund.

56. A \$280,000 conventional loan at 96.5% LTV. Annual PMI rate = 1.10%. What is the monthly PMI cost?

✓ C) \$200.00

Monthly PMI = $\$280,000 \times 1.10\% / 12 = \$3,080 / 12 = \$256.67$. Note: PMI is calculated on the loan amount, not the property value. At 96.5% LTV, conventional PMI is required and rates are higher (reflecting higher risk) than at lower LTVs.

57. In a 7/6 ARM, what does '6' represent?

✓ B) 6-month adjustment interval after the initial 7-year fixed period

In ARM nomenclature X/Y: X = initial fixed period (7 years), Y = adjustment frequency after initial period. A 7/6 ARM has a 7-year initial fixed period, then adjusts every 6 MONTHS (semi-annually) thereafter. This is more frequent than the 7/1 (annual) ARM. Borrowers face rate adjustment risk twice per year after year 7.

58. Which title insurance policy protects the lender but NOT the homeowner?

✓ D) Neither — insurance is not required

The lender's title insurance policy (mortgagee policy) is required by virtually all lenders and protects the lender's interest in the property. It does NOT protect the homeowner. The owner's title insurance policy is optional for buyers but is highly recommended — it protects the owner's equity and ownership rights. Both policies are typically purchased at closing.

59. FHA vs. Conventional for a borrower with 600 FICO and 5% down: Which is the ONLY feasible option?

✓ **A) Conventional — 600 FICO meets the 620 minimum**

At 600 FICO: Conventional requires 620+ (FNMA minimum). FHA requires 580+ for 3.5% down; 500-579 for 10% down. At 600 FICO with 5% down, the borrower MEETS FHA's 580+ threshold and has 5% down (above the 3.5% FHA minimum). FHA is the only viable conforming/government program. Conventional is not available below 620.

60. Which of the following is NOT a standard QM loan type (safe harbor)?

✓ **C) Option ARM with negative amortization feature**

Option ARMs with negative amortization are explicitly excluded from QM eligibility. QM safe harbors include: Fannie/Freddie eligible loans (general QM), FHA/VA/USDA loans meeting agency guidelines (agency/government QM), and small creditor QM. Neg-am is one of the prohibited features for ALL QM categories.

61. Which section of the URLA (1003) contains information about the borrower's assets and liabilities?

✓ **B) Section 3**

Section 2 of the revised URLA contains Financial Information — Assets and Liabilities: checking/savings accounts, retirement assets, real estate owned (including property addresses, values, and mortgage balances), and other liabilities. Section 1 is borrower info. Section 3 is real estate information. Section 4 is loan/property info.

62. Which income type requires a 2-year history AND is averaged over 24 months, using the lower year if declining?

✓ **D) Child support**

Bonus and overtime income requires: (1) 2-year history documented by tax returns and W-2s/pay stubs, (2) likelihood to continue (employer verification), and (3) averaging over 24 months. If declining, use the lower year or declining trend. Base salary uses current rate. Child support uses 3-year continuation test. Investment income uses 2-year average of Schedule B.

63. A 2-member partnership has one partner with 40% ownership. That partner receives a K-1 showing \$80,000 in income. What can the partner use for qualifying?

✓ **A) $\$80,000 \times 40\% = \$32,000$ of the partnership income**

K-1 income from a partnership can be used for qualifying if the borrower has 25%+ ownership (which triggers self-employment treatment). The K-1 shows the borrower's actual share of income/loss. At 40% ownership with \$80,000 K-1 income, the full \$80,000 (before add-backs) is that partner's share. Averaged over 2 years with any necessary add-backs and adjustments.

64. A borrower has gross monthly income of \$8,500. They have a car loan (\$400), student loan (\$300), credit card minimum (\$75). Proposed PITI = \$2,250. Calculate front-end and back-end DTI.

✓ **C) Front: 30%; Back: 40%**

Front-end = $\$2,250 / \$8,500 = 26.5\%$. Back-end = $(\$2,250 + \$400 + \$300 + \$75) / \$8,500 = \$3,025 / \$8,500 = 35.6\%$. Both ratios are within FHA guidelines (31%/43%) and well within conventional guidelines (28-45%). This borrower has a strong DTI profile.

65. A borrower's credit report shows 3 bureau scores: 650, 665, 640. Co-borrower has: 710, 698, 720. The qualifying score for the loan is:

✓ **B) 698 (co-borrower middle)**

Primary borrower: Order 650, 640, 665 → middle = 650. Co-borrower: Order 710, 720, 698 → middle = 710. Qualifying score = LOWER of two middle scores = 650. Always sort the three scores and identify the middle (not the average). With two borrowers, the lower middle score controls qualification.

66. The Loan Estimate's 'In 5 Years' section shows:

✓ **D) The rate cap in 5 years for an ARM**

The 'In 5 Years' section on the LE shows: (1) the total amount paid (principal + interest + mortgage insurance + loan costs/fees) in the first 5 years, and (2) the principal paid in those 5 years. This helps borrowers compare the cost of different loan products over a common time horizon.

67. The Freddie Mac Home Possible program is MOST comparable to:

✓ **A) FHA 203(k)**

Freddie Mac Home Possible and Fannie Mae HomeReady are both affordable conventional lending programs for low-to-moderate income borrowers, both allowing 3% down, both requiring homebuyer education, and both designed for LMI borrowers ($\leq 80\%$ AMI). They are the GSE equivalents of each other.

68. Which of the following documents is used to verify a borrower's employment and base income?

✓ C) Tax transcripts (4506-C)

For a salaried W-2 employee, standard income documentation = 30 days of pay stubs (showing YTD earnings) + 2 most recent years of W-2s. Tax transcripts (4506-C) are used to verify the accuracy of tax-related income documents. Bank statements are typically used for asset verification. Schedule C is for self-employed borrowers.

69. A borrower is worried about rates rising before closing. They ask the MLO about their options. The MLO should explain:

✓ B) The borrower can choose to lock the rate now for a defined period, or float (accept market risk) until they're ready to lock

MLOs must explain the rate lock vs. float decision: locking provides certainty for a fee (typically built into the rate or pricing) for a defined period; floating leaves the rate subject to market movements — better if rates fall, worse if rates rise. This is a material decision that impacts the borrower's cost and the MLO must explain it clearly without making rate predictions.

70. Which borrower declaration on the URLA asks about pending lawsuits?

✓ D) Section 7 Military Service

Section 5 of the URLA contains Declarations including questions about: outstanding judgments, lawsuits, delinquent federal debts, bankruptcies, foreclosures, short sales, and other legal/financial matters. These directly impact underwriting and must be answered truthfully. False declarations constitute mortgage fraud.

71. A borrower has commission income that has been declining: Year 1 = \$90,000; Year 2 = \$75,000. What income is used for qualifying?

✓ A) \$82,500 (average of 2 years)

When income is DECLINING, lenders must use the LOWER year's income or apply a declining income trend. At Year 2 = \$75,000, the trend is downward. Most underwriting guidelines require using \$75,000 (lower year) or potentially even a lower projection if the trend is steep. Using the average (\$82,500) when income is declining is not acceptable.

72. A borrower's credit score was 680 last year but has dropped to 620 due to a recent 60-day late payment on a credit card. The borrower applies for a conventional loan. This likely results in:

✓ C) Automatic denial by all conventional lenders

Mortgage pricing (rate and PMI) is heavily based on the qualifying credit score. A drop from 680 to 620 significantly increases both the interest rate (through LLPA — loan level price adjustments) and PMI premiums. At 620, the borrower still meets minimum conventional requirements (620 minimum) but at a much higher cost than at 680. The current score — not historical — is what qualifies.

73. Which document at closing grants the lender a security interest in the real property as collateral for the loan?

✓ B) Closing Disclosure

The Mortgage (in mortgage states) or Deed of Trust (in deed of trust states) is the security instrument that pledges the property as collateral for the loan. It gives the lender the right to foreclose if the borrower defaults. The Promissory Note is the borrower's promise to repay — the security instrument makes it a secured debt.

74. An MLO learns that a title company on the Written List of Providers has increased their title search fee by \$80 after the LE was issued. The borrower used the listed provider. This is:

✓ D) A 25% tolerance violation

When a borrower selects a provider FROM the lender's Written List, the service falls in the 10% aggregate tolerance bucket. If the aggregate of all such services increases more than 10%, the lender must cure the difference. An \$80 increase on a \$800 fee = 10% — exactly at the tolerance limit. The aggregate calculation includes all Section C (lender's list) services.

75. If a borrower applies online at midnight and provides all 6 ILLNESS elements, when must the LE be delivered?

✓ A) Within 3 business days of the following Monday

The LE must be delivered within 3 business days of receiving a complete application, regardless of the time of day the application was received. If the application is received at midnight on Monday, the clock starts Monday. Business days for LE = all days except Sunday and federal holidays. The LE must be delivered by Thursday (Mon + 3 business days).

76. A self-employed borrower claims \$120,000 in Schedule C income. The IRS transcript (4506-C) shows \$85,000 in adjusted gross income. The lender should use:

✓ C) The average of \$120,000 and \$85,000

When there is a discrepancy between borrower-stated income and the IRS-verified transcript, the transcript controls. The 4506-C is obtained precisely to verify accuracy of tax-based income. Using the higher stated income when the IRS records show less would be using unverified income — a potential ATR violation and risk of repurchase demand from investors.

77. A borrower earns \$75,000/year base salary. They want a maximum 36% back-end DTI. They have \$850/month in existing debts. What is the maximum PITI payment?

✓ **B) \$1,400**

Monthly income = $\$75,000/12 = \$6,250$. Maximum total debt at 36% = $\$6,250 \times 36\% = \$2,250$. Maximum PITI = $\$2,250 - \$850 = \$1,400$. The 36% DTI is used for conservative manual underwriting guidelines.

78. What is the purpose of the 4506-C (IRS Request for Tax Transcript)?

✓ **D) To verify employment with the IRS**

The 4506-C (formerly 4506-T) is submitted to the IRS to obtain official tax transcripts that the lender compares to the tax returns submitted by the borrower. This prevents income fraud by verifying the documents the borrower provided actually match what was filed with the IRS. It is standard practice on virtually all mortgage loans.

79. An MLO promises a borrower 'I guarantee rates will not go up' before a lock is executed. This statement:

✓ **A) Is acceptable as industry encouragement**

No MLO can legally guarantee future market interest rates. Making such a promise is potentially deceptive (UDAAP violation) and could expose the MLO and lender to liability. MLOs should explain lock options and their timing but never predict or guarantee market movements. The statement is problematic regardless of whether rates go up or down.

80. On the URLA, 'Subject Property' refers to:

✓ **C) The borrower's employer's property**

The 'subject property' is the property being purchased, refinanced, or used as collateral for the mortgage loan being applied for. Section 4 of the URLA contains loan and subject property information. All underwriting, appraisal, and title work centers on the subject property.

81. Investment income (dividends and interest) from Schedule B of the tax return is used for qualifying by:

✓ **B) Averaging the income over the most recent 2 years of tax returns**

Schedule B investment income (dividends, interest) is averaged over the most recent 2 years from tax returns. The assets generating the income must remain after closing (lenders verify the investment accounts still hold sufficient assets). Declining investment income is treated similarly to other declining income — use the lower or trend.

82. A borrower has a \$5,000 charge-off on their credit report from 3 years ago. Under most conventional guidelines, this:

✓ **D) Automatically disqualifies the borrower**

Charge-offs do not automatically disqualify a borrower and do not all require payoff. Conventional guidelines may require an explanation letter for recent or large charge-offs. The charge-off's age, amount, and the overall credit picture matter. Older charge-offs (\$5,000, 3 years old) with otherwise good credit may not need payoff under standard Fannie/Freddie guidelines (though lender overlays may require it).

83. A 'dry close' state requires:

✓ **A) Closing documents signed but no funding until rescission expires for all transactions**

Dry funding states (California, Alaska, Hawaii, Oregon, Washington) require the lender to review the signed closing documents before disbursing funds — typically 24-48 hours after the signing appointment. This contrasts with wet funding states where disbursement occurs the same day as closing. In dry states, sellers typically don't receive proceeds until the day after closing.

84. Which of the following is true about the 7-business-day waiting period before consummation under TRID?

✓ **C) It is 7 calendar days, not business days**

Under TRID, there is a mandatory 7-business-day waiting period from the time the LE is DELIVERED to the time of consummation. Business days = all days except Sunday and federal holidays. The borrower may waive this period only in a bona fide personal financial emergency (must be documented). This is separate from the 3-day CD waiting period.

85. A borrower wants to purchase a multi-family property (duplex) and live in one unit. Which programs allow this?

✓ **B) FHA and VA (both allow 1-4 unit owner-occupied)**

Both FHA and VA allow 1-4 unit properties when the veteran/borrower occupies one unit as their primary residence. USDA requires single-family (1 unit). Conventional also allows 1-4 unit owner-occupied. For FHA multi-unit, the borrower's down payment increases for 2-4 units (3.5% for all units with 580+ FICO), and the property must meet FHA standards.

86. The concept of 'best efforts' vs. 'mandatory delivery' in the secondary market affects the MLO because:

✓ **D) Only FHA loans use mandatory delivery**

Lenders use best-efforts or mandatory delivery commitments with investors. Mandatory delivery requires the lender to deliver the exact loans committed or pay pair-off fees. This is why MLOs must manage rate lock expirations carefully — extended or broken locks can cost the lender significant pair-off fees, which is why lock extension fees and disciplines exist.

87. A borrower receives VA disability income of \$2,200/month (non-taxable). How is this used for qualifying?

✓ **A) \$2,200/month at face value**

Non-taxable VA disability income can be grossed up by 125%: $\$2,200 \times 1.25 = \$2,750$ /month qualifying income. VA disability is a stable, reliable income source that all major loan programs recognize. The 125% gross-up applies because non-taxable income has a tax advantage equivalent to earning more in gross wages.

88. The URLA's Section 8 (demographic/GMI data) is used for:

✓ **C) Employment verification**

Section 8 (Government Monitoring Information) collects race, ethnicity, and sex of applicants solely for HMDA (Home Mortgage Disclosure Act) reporting and fair lending analysis. This data is separated from the underwriting file and CANNOT be used in credit decisions. Underwriters are instructed to make decisions without reference to Section 8.

89. A borrower makes \$6,000/month. They have no existing debts. Using FHA's 43% back-end maximum, what is the maximum PITI payment?

✓ **B) \$2,580 (43% back-end limit)**

With no existing debts, the back-end DTI equals the front-end DTI. Maximum at 43% = $\$6,000 \times 43\% = \$2,580$. However, FHA also has a 31% front-end limit: $\$6,000 \times 31\% = \$1,860$. The MORE restrictive of the two limits applies — front-end = \$1,860. The front-end constrains the payment more in this scenario.

90. A file with a DU 'Approve/Eligible' finding means:

✓ **D) The borrower must reapply**

'Approve/Eligible' is DU's most favorable finding: 'Approve' = the risk assessment approves the loan; 'Eligible' = the loan meets the seller/servicer eligibility guidelines for delivery to Fannie Mae. This allows lenders to use DU's expanded eligibility guidelines (e.g., higher DTI) without manual underwriting. 'Refer' or 'Caution' findings may require manual underwriting.

91. Which statement about the promissory note is MOST accurate?

✓ **A) The promissory note pledges the property as collateral**

The promissory note is a negotiable instrument evidencing the debt — when sold to the secondary market, the note transfers with it. It contains: loan amount, interest rate, payment amount, maturity date, and provisions for default. The security instrument (mortgage/DOT) pledges the property; the note is the promise to repay. Together they create a secured debt.

92. A lender uses a 'Closing Cost Worksheet' to estimate costs before the LE is issued. This worksheet:

✓ **C) Can replace the Loan Estimate**

Pre-application worksheets, cost estimates, and fee sheets have no legal standing under TRID. Only the Loan Estimate (once all 6 application elements are received) is the binding disclosure. Fees on a preliminary worksheet are not subject to tolerance limits — only LE fees are. However, providing misleading preliminary estimates to get the application can raise UDAAP concerns.

93. Which of the following is the MLO's primary obligation when explaining rate lock options to a borrower?

✓ **B) To fully disclose the lock options available, costs, terms, and risks of floating — without making rate predictions**

The MLO's primary obligation is disclosure and education — presenting all available options (lock periods, costs, float-down options) and explaining the risks of each. MLOs are prohibited from making rate predictions or guarantees. The borrower makes the final lock/float decision based on informed consent.

94. Which scenario would require a new application rather than a simple loan modification?

✓ **D) A closing date change**

A change in loan program (FHA to conventional, conventional to VA, etc.) involves different loan terms, insurance requirements, guaranty, and qualifying guidelines — it requires a new loan application and new disclosures (new LE), not just a modification. Rate lock extensions, rate changes within program, and date changes don't require a new application.

95. A borrower receives \$500/month in child support with 2 years remaining. Can this be used as qualifying income?

✓ **A) Yes, child support income can always be used**

Child support (and alimony) must continue for at least 3 years from the mortgage application date to be used as qualifying income. With only 2 years remaining, this child support does NOT qualify. Additionally, it must be documented by divorce decree/court order and show consistent receipt (typically 12 months of bank statement deposits).

96. Under FHA guidelines, which collection account must typically be paid off before closing?

✓ **C) Any collection over \$100**

Under standard FHA guidelines, individual non-medical collection accounts may require payoff or a payment arrangement (and the payment included in DTI). Collections discharged in bankruptcy are treated differently. Medical collections are specifically identified by FHA as accounts that may be disregarded. Lender overlays may be stricter than FHA minimums.

97. The 'Annual Percentage Rate' (APR) on the Loan Estimate will be HIGHER than the note rate when:

✓ **B) The loan has any finance charges (origination fees, points, etc.) included in the APR calculation**

APR > note rate whenever the loan has finance charges included in the APR calculation (origination fees, discount points, mortgage broker fees, required insurance). The only time APR = note rate is when there are zero includable finance charges. For most mortgage loans, origination fees or points make APR higher than the note rate.

98. Which of the following is MOST likely to cause an automated underwriting 'Refer' finding?

✓ **D) A borrower with large down payment and no debts**

AUS 'Refer' findings are triggered by higher-risk profiles: low credit scores combined with high DTI and recent derogatory credit events. A 620 FICO + 45% DTI + 60-day late = multiple risk factors that DU/LP is designed to flag. This file would likely require manual underwriting with stricter DTI limits and reserve requirements.

99. At settlement/closing, who is responsible for preparing the Closing Disclosure?

✓ **A) The real estate agent**

The lender or settlement agent (at the lender's direction) is responsible for preparing and delivering the Closing Disclosure. The CD must reflect all actual charges — not just what was on the LE. The lender bears ultimate responsibility for TRID compliance even if a title company or attorney prepares the CD on the lender's behalf.

100. 'Earnest money deposit' on the URLA is important because:

✓ **C) It must equal 10% of the purchase price**

Earnest money (good faith deposit) is given to the seller/escrow when the purchase contract is signed. At closing, it is credited toward the borrower's down payment/closing costs, reducing the total cash needed to close. On the URLA and loan application, it is documented as an asset (deposit in escrow) that offsets the closing funds needed.

101. A borrower's gross monthly income is \$12,000. They have: mortgage payment (PITI) \$3,200, car payment \$550, student loan \$320, credit card minimum \$80. What is the back-end DTI?

✓ **B) 34.6%**

Back-end DTI = all monthly obligations / gross income = $(\$3,200 + \$550 + \$320 + \$80) / \$12,000 = \$4,150 / \$12,000 = 34.58\% \approx 34.6\%$. This is well within conventional 45% limits and FHA 43% limit.

102. A borrower receives \$4,500/month in alimony (taxable). They want to use this income for qualifying. What documentation is required?

✓ **D) Verbal confirmation from the ex-spouse**

Alimony used for qualifying requires: (1) legal documentation (divorce decree, separation agreement, or court order) showing the amount and terms, (2) evidence of consistent receipt (typically 12 months of bank deposits), and (3) confirmation the income will continue for at least 3 years from application date. All three elements must be present.

103. Which fee is shown in the LE Section H 'Other' category?

✓ **A) Lender origination charge**

Section H of the LE covers 'Other' costs such as: HOA dues, homeowner's association capital contribution, real estate commissions (on some transactions), warranty fees, and other unique transaction costs. Origination charges are Section A. Prepaids (insurance, per diem) are Section F. Government taxes are Section E.

104. A 'Letter of Explanation' (LOE or LOX) is typically required when:

✓ **C) The borrower has a 30-year fixed loan**

Letters of Explanation are required for items the underwriter needs to understand: credit derogatory events (late payments, collections, bankruptcy), employment gaps, large/irregular deposits in bank accounts (sourcing requirement), NSF history, and other documentation questions. They must be signed by the borrower and address the specific issue.

105. Which of the following is NOT a typical component of a rate lock agreement?

✓ **B) Interest rate and discount points committed**

A rate lock agreement covers: the locked rate and points, the lock period (expiration date), conditions under which the lock is valid, and extension fees/options. A rate lock does NOT guarantee loan approval — it only commits to a rate if the loan closes within the lock period. Approval depends on underwriting; the lock is separate from the credit decision.

106. Which of the following BEST describes 'property flipping fraud'?

✓ D) Converting a rental property to a primary residence

Property flipping fraud involves: (1) purchasing a property, (2) obtaining a fraudulent appraisal at an artificially inflated value, and (3) quickly reselling to an unknowing buyer (often with a predatory lender), leaving the buyer with an over-leveraged, overvalued property. The original buyer profits illegally; the victim buyer is underwater immediately.

107. Which of the following practices is an example of 'predatory lending'?

✓ A) Offering a 30-year fixed rate mortgage to a creditworthy borrower

Predatory lending targets vulnerable populations (elderly, low-income, minorities, unsophisticated borrowers) with loan terms that are harmful to the borrower — excessive fees, high prepayment penalties, unaffordable payments, or frequent unnecessary refinances. It violates UDAAP, fair lending laws, and professional ethics standards.

108. An MLO who discovers mid-process that a borrower provided fraudulent pay stubs should:

✓ C) Ask the borrower to fix the pay stubs

When fraud is discovered, the MLO must immediately cease processing the application and report the fraud to their employer's compliance/fraud department and potentially to law enforcement or regulatory agencies. Continuing to process a fraudulent application makes the MLO complicit in the fraud. Reporting is both an ethical obligation and may be required by law.

109. 'Chunking' in mortgage fraud refers to:

✓ B) Recruiting multiple purchasers to buy properties from the same seller at inflated prices using fraudulent loan applications

Chunking is a mortgage fraud scheme where a fraudster recruits multiple straw buyers to purchase properties (usually in the same development or from the same seller) at inflated prices, often with manufactured appraisals and fabricated borrower profiles. The properties are never actually occupied; the fraudsters pocket proceeds and the loans default.

110. An MLO who advises a borrower against disclosing a recent job loss on the loan application is:

✓ D) Only wrong if the loan defaults

Advising a borrower to conceal material information (job loss affects income verification and ATR) is mortgage fraud. The MLO faces: SAFE Act license revocation, civil liability, and potential federal criminal charges for bank fraud, wire fraud, and false statements to a financial institution. Participation in fraud — even indirectly — has serious professional and legal consequences.

111. Which of the following represents a 'disparate impact' concern under fair lending?

✓ A) A borrower who intentionally misrepresents income

Disparate impact occurs when a facially neutral policy disproportionately harms a protected class. A minimum loan amount requirement (\$150,000) may appear neutral but if it disproportionately excludes borrowers in minority-concentrated neighborhoods where home values are lower, it creates disparate impact. The policy must be justified by business necessity and have no less discriminatory alternative.

112. Which of the following is an example of 'equity skimming'?

✓ C) Selling a home at market value

Equity skimming is a fraud where a fraudster (often posing as a foreclosure rescue specialist) convinces a distressed homeowner to deed the property to the fraudster. The fraudster collects rent but doesn't make mortgage payments, pockets the proceeds, and allows foreclosure — destroying the original owner's credit while profiting from rents.

113. An MLO who primarily serves minority communities and offers only high-cost subprime loans when those borrowers would qualify for conventional products is:

✓ B) Engaging in reverse redlining — targeting a protected class with inferior products

Reverse redlining is the practice of targeting minority or other protected class communities with predatory, high-cost loan products when those borrowers would qualify for better conventional products. This violates the Fair Housing Act, ECOA, and UDAAP. It is the inverse of traditional redlining but equally illegal — both involve treating protected classes less favorably.

114. Which statement BEST describes the CFPB's authority under UDAAP?

✓ D) UDAAP is enforced only by state attorneys general

The CFPB has broad UDAAP authority under Dodd-Frank over a wide range of financial products and providers, including non-bank mortgage companies, payday lenders, credit card issuers, and more. The CFPB can conduct examinations, issue civil investigative demands, impose civil money penalties, and order restitution for UDAAP violations.

115. A borrower's employer provides an employment verification letter that contradicts information on the pay stubs. The MLO should:

✓ **A) Use the pay stubs — they are more detailed**

Document discrepancies must be resolved — not ignored and not manipulated by choosing the favorable document. The MLO must request additional documentation to reconcile the discrepancy, seek a satisfactory explanation, and if fraud is suspected (e.g., fabricated documents), report to the compliance/fraud team. Using unresolved conflicting documents violates ATR and potentially constitutes fraud participation.

116. Under the SAFE Act, a state-licensed MLO who moves to a new state must:

✓ **C) Only register with NMLS in the new state**

State licensing is state-specific — a license from State A does not automatically allow origination in State B. An MLO who moves to or wants to originate in a new state must apply for a license in that state. NMLS facilitates multi-state licensing, and many CE requirements may be satisfied federally. The SAFE Act created a baseline; states add their own requirements.

117. The NMLS unique identifier assigned to an MLO:

✓ **B) Remains the same throughout the MLO's career, regardless of employer changes or state transfers**

The NMLS unique identifier is permanent — it follows the MLO throughout their career regardless of employer changes, state transfers, or licensing status. This permanence allows regulators and consumers to track an MLO's complete history across states and employers. The NMLS Consumer Access site makes this publicly available.

118. Which of the following is subject to the SAFE Act's background check requirements for initial licensure?

✓ **D) Only felony convictions, with no time limit**

SAFE Act initial licensure requires: (1) FBI criminal background check, (2) credit report review, and (3) review of administrative, civil, or criminal findings. The background check has no time limit for certain offenses — financial crimes, felonies involving dishonesty, and sex offenses may be permanently disqualifying. The credit check looks for financial irresponsibility.

119. An MLO who fails to complete annual continuing education by the December 31 deadline will:

✓ **A) Receive a 90-day grace period**

MLO licenses renew annually (typically December 31 deadline). Failure to complete required CE before the renewal date results in license lapse — the MLO cannot originate loans until CE is completed and the license is reinstated. States may offer limited grace periods or late renewal options with additional fees, but the license is not active during the gap.

120. An MLO who is the subject of a final order from a state regulatory agency for violations involving dishonesty, breach of trust, or money laundering must:

✓ **C) Report to the CFPB within 30 days**

Under the SAFE Act, an MLO who has been the subject of any final order entered by any state regulatory agency related to financial services involving fraud, dishonesty, breach of trust, or money laundering is subject to mandatory licensing denial or revocation. This can be a permanent bar. Certain financial crimes (especially those involving dishonesty) may permanently disqualify individuals from MLO licensing.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	EXCELLENT ✓	Review any missed; you're on track to pass.
90–107 (75–89%)	PASS ✓	Close! Shore up weak topics in study notes.
72–89 (60–74%)	BORDERLINE	Re-read weak sections; retake this exam.
0–71 (below 60%)	NEEDS WORK	Study notes first, then retry in 24 hrs.